

“Noise” is either created inside our heads or comes from outside. Often from friends, family, co-workers and the media. Lynch recalls the time during the 1950s when the threat of nuclear war was so prevalent in the news that people began building fallout shelters and storing food and water. If they had invested that money wisely in the market, instead of building a fallout shelter, they'd probably be financially independent today.

When the riots broke out in Los Angeles a few years ago, gun sales went up all over the country. A person dies from rare hamburger meat in Washington State and the Arizona Health Department orders restaurants to have all beef cooked well-done. A drug company runs a national TV commercial showing people catching the flu. The ad runs in February. Colds go up as well as sales of their cold medicine.

Most people are poor because when it comes to investing, the world is filled with Chicken Littles running around yelling, “The sky is falling. The sky is falling.” And Chicken Littles are effective because everyone of us is a little chicken. It often takes great courage to not let rumors and talk of doom and gloom affect your doubts and fears.

In 1992, a friend named Richard came from Boston to visit my wife and me in Phoenix. He was impressed with what we had done through stocks and real estate. The prices of real estate in Phoenix were depressed. We spent two days with him showing him what we thought were excellent opportunities for cash flow and capital appreciation.

My wife and I are not real estate agents. We are strictly investors. After identifying a unit in a resort community, we called an agent who sold it to him that afternoon. The price was a mere \$42,000 for a two-bedroom townhome. Similar units were going for \$65,000. He had found a bargain. Excited, he bought it and returned to Boston.

Two weeks later, the agent called to say that our friend had backed out. I called immediately to find out why. All he said was that he talked to his neighbor, and his neighbor told him it was a bad deal. He was paying too much.

I asked Richard if his neighbor was an investor. Richard said “no.” When I asked why he listened to him, Richard got defensive and simply said he wanted to keep looking.

The real estate market in Phoenix turned, and by 1994, that little unit was renting for \$1,000 a month-\$2,500 in the peak winter months. The unit was worth \$95,000 in 1995. All Richard had to put down was \$5,000 and he would have had a start at getting out of the rat race. Today, he still has done nothing. And the bargains in Phoenix are still here; you just have to look a lot harder.

Richard's backing out did not surprise me. It's called “buyer's